NOTE 15 - Income Taxes:

The following is a reconciliation of the effective tax rate to the federal statutory tax rate for continuing operations.

	2004	2003	2002
Statutory Federal Income Tax Rate	35.0%	35.0%	35.0%
State Income Taxes- Net of Federal Tax Benefit	3.5	3.1	3.3
Stock-Based Compensation Expense	0.2	0.2	0.0
Other, Net	(0.2)	(0.4)	(0.7)
Effective Tax Rate	**38.5%**	**37.9%**	**37.6%**

	Components of Income Tax Provision for Continuing Operations		
(In Millions)	2004	2003	2002
Current			
Federal	$ 1,077	$ 834	$ 590
State	174	124	82
Total Current	**1,251**	**958**	**672**
Deferred			
Federal	86	143	183
State	23	14	38
Total Deferred	**109**	**157**	**221**
Total Income Tax Provision	**$ 1,360**	**$ 1,115**	**$ 893**

The tax effect of cumulative temporary differences that gave rise to the deferred tax assets and liabilities at January 28, 2005, and January 30, 2004, is as follows:

	January 28, 2005			January 30, 2004		
(In Millions)	Assets	Liabilities	Total	Assets	Liabilities	Total
Excess Property and Store Closing Costs	$ 19	$ -	$ 19	$ 22	$ -	$ 22
Self-Insurance	37	-	37	31	-	31
Depreciation	-	(776)	(776)	-	(625)	(625)
Rent	26	-	26	13	-	13
Vacation Accrual	7	-	7	5	-	5
Allowance for Sales Returns	43	-	43	32	-	32
Stock-Based Compensation Expense	28	-	28	2	-	2
Other, Net	19	(44)	(25)	17	(29)	(12)
Total	**$ 179**	**$ (820)**	**$ (641)**	**$ 122**	**$ (654)**	**$ (532)**

Given the consistent profitability of past operations, the Company believes that the deferred tax assets will be recovered and that no valuation allowance is necessary.

The tax balances and income tax expense recognized by the Company are based on management’s interpretation of the current tax laws of multiple tax jurisdictions. Income tax expense reflects the Company’s best estimates and assumptions regarding the level of future taxable income and interpretation of current tax laws.

Tax authorities periodically audit the Company's income tax returns. These audits include a review of the Company's tax filing positions, including the timing and amount of income and deductions in various tax jurisdictions. In evaluating liabilities associated with its various tax filing positions, the Company has accrued for probable liabilities resulting from tax assessments by tax authorities. The amounts accrued were not material to the Company's consolidated financial statements in any of the years presented.